

	HSE Internal Use Only System Audit Standard		Doc.code: HSEVN-IVI-QA-ST-050	1/17
			Issue date:2026.08.17	
			Revised date:	
Responsible Team		Haengsung Electronics company Quality Assurance team		
Estimated review and update time		Max. 1 year		
Author (by roll and function)		CS team member		
Approver 1		CS team member		
Approver 2		CS part leader		
Revision	Date	What changed	What was removed	What was added
00	2026-08-17	HSE released new standard		

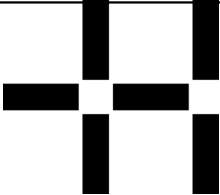
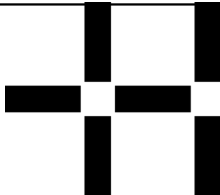
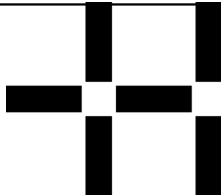
		HSE Internal Use Only System Audit Standard		Doc.code: HSEVN-IVI-QA-ST-050 Issue date:2026.08.17 Revised date: Version: 00		2/17							
Requirement		Opportunity / Risk analysis		Resources									
1. IATF 16949 7.2.3 Competence of internal auditor 9.2 Internal Audit /9.2.1/9.2.2 9.2.2.1 Internal audit program 9.2.2.2 Quality management system audit 9.2.2.3 Process audit 9.2.2.4 Product audit		• Opportunity - Find potential issue in advanced - Improve QMS • Risk Factors - Missing IATF16949 Certification - Breaking up Quality Management System - Cannot find out potential issue to improve QMS • Impact Cannot achieve customer requirements • Strategy - Monitoring & checking regular audit on management review - Conduct periodic training to improve internal auditor competency (including customer requirements)		Personnel • Education : College graduation or more • Experience : 1 year or more • Training : IATF 16949 internal auditor training Internal OJT Tools HW: PC SW: Audit check list (VDA 6.3/ 6.5, Customer required format) Audit NCR Issue F/up sheet Related teams HSE All team Team in charge Quality Department									
2. Customer (CSR) GM Refer to attached excel file  Requirement													
3. Legal/Regulatory: N/A													
4. ETC: N/A (Supplier/ Interested Party)													
Process Input				Process Output									
- Past internal audit report - Internal & external performance /change - Risk assessment - Audit Checklist - Product spec, Control Plan, Work Instruction - CSRs - CQI 8 LPA - Control Plan				- Audit plan - Report of audit results - Non- Conforming report - Corrective Action Report - Internal auditor qualification list									
Related Processes/Standards		Process step		Performance index (KPI)									
		1. Internal audit annual plan 2. Prepare details 3. Perform internal audits 4. Nonconformity reporting and corrective action follow up 5. Internal audit result report 6. Corrective action / validation 7. Maintain internal audit records 8. Internal Auditor qualification Management		<table><tr><td>KPI</td><td>cycle</td><td>Team</td></tr><tr><td>Audit conduct rate</td><td>monthly</td><td>Quality</td></tr></table>		KPI	cycle	Team	Audit conduct rate	monthly	Quality		
KPI	cycle	Team											
Audit conduct rate	monthly	Quality											

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Process step	Input	Department / Team		Output	Approver
		Quality department (planning, outgoing)	Auditee department		
Audit annual plan	1. Audit plan 2. Past Audit Report 3. Product Spec. 4. Control plan 5. Customer Claim list 6. Customer and External Audit Report 7. Design Change/ Process Change 8. Management review 9. Shift service 10. Process information 11. Customer Specific Requirement 12. Risk assessment result	1 Establish an annual audit plan (program) Approval No Yes Audit notice		Annual audit plan	Quality Manager
Prepare details	1. Annual audit plan 2. Customer CSRs	2 Hold an auditor meetings and share audit related information		Meeting minutes Checklist Audit schedule	
Perform audits	1. Checklist 2. Audit schedule	3 Perform audit (System/manufacturing process/product)		Nonconformity issues	
Nonconformity reporting and corrective action follow up	1. Nonconformity issues 2. Audit evidence Nonconformity reports	4 Nonconformity reports Request to submit corrective and preventive actions Make & submit corrective and preventive actions plan A		Nonconformity reports Corrective and Preventive Action plan & report	

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Process step	Input	Responsible department	Related organizations	Output	Final approver	
		Quality department (planning, outgoing)	Auditee department			
Audit result report	1. Nonconformity reports 2. Corrective and Preventive Action Report	5 Final audit result report	A	Audit report	Plant Director	
Corrective action / validation	1. Audit Nonconformity report 2. External audit Nonconformity report	6 Verify corrective action		Man- age- ment review	Plant Director	
Maintain audit records		7 Maintain audit records		Audit records		
Internal Auditor qualification Management	Internal auditor selection / training	8 Management of internal auditor qualification 9 Internal auditor qualification maintenance		Internal auditor qualification list Internal auditor qualification list	Quality de- partment leader	

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Article 1. Scope

This standard applies to all applicable departments, manufacturing processes, support processes and quality-related activities within the HSE Mexico Business Unit. The audit program includes System Audit, Process Audit, Product Audit, ESD Audit, Layered Process Audit (LPA), Control Plan & PFMEA Audit, and Special Audit, as applicable.

Article 2 Purpose

Through the systematic and independent auditing of system audits, we confirm the effectiveness and efficiency of the Haengsung Electronics company system including the quality policy and the quality assurance system, and aim to continuously improve and improve the system.

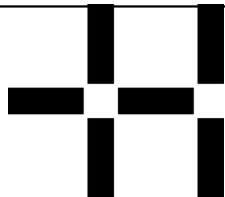
Article 3 Definition of Terms

- **Quality Policy:** The overall intent and direction of the quality-related organization officially expressed by HSE President.
- **Quality Objective:** To pursue or to aim for quality. Quality goals should be quantifiable.
- **Quality Management System:** Quality Management System that directs and manages the organization. It is a system for establishing quality policy and quality goals and achieving the goals.
- **Quality Planning Part:** Part of quality management that focuses on providing assurance that the quality requirements will be met.
- **System Audit:** Systematic verification activities carried out on its own to determine whether the quality management system and quality assurance activities are appropriate to the intended plan, are effectively implemented, and are appropriate in achieving the organization's policies and goals.
- Non-conformity: Failure to meet the prescribed requirements
 - 1) Major Non-conformity : **C grade**

There is no in-house procedure to meet customer needs and expectations of **CSR** requirements, or do not follow one in some requirements of procedure systematically.
 - 2) Minor Non-conformity : **B grade**

There are in-house related procedures but they are not executed fully, or they run inefficiently
 - 3) Opportunity for Improvement/ Observation : **A grade**

It is not a minor or significant nonconformity, but the observed situation may result in the judge's judgment and experience not being ideal.



System Audit Standard

- **Regular Quality Audit:** It is a quality audit conducted on the overall quality system, and the Quality Department shall conduct it at least once a year for all of the departments according to the established plan.
- **Special Quality Audit:** It is specially conducted in case that any significant change or abnormality is detected or is likely to be detected in the quality system.

Article 4 Responsibility and authority

1. Plant Director

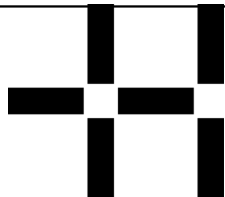
Responsibility and authority to periodically review and determine the suitability and efficiency of the quality system to achieve quality policy and quality objectives.

2. Quality Planning Part Leader

- 1) Responsibility and authority over the overall system audit activity to assess the suitability and effectiveness of the quality system.
- 2) It has the responsibility and authority to form an audit team to conduct audits of systems, processes and products.
- 3) Responsibility and authority to plan and operate the audit.
- 4) Report the audit results to President and make them available as inputs for management review.
- 5) It establishes and inspects the audit plan for the division and has the authority to make adjustments or final decisions on the disagreement between the audit department or the auditor during the audit. Changes in plans or results should be authorized in consultation with the audit team and documented.
- 6) Monitor corrective action status.
- 7) Verification and close of corrective action as answer for Non-conformance in audits

3. Internal auditor

- 1) A planned internal audit should be carried out, and it is the responsibility of documenting and submitting the results of the audit.
- 2) The organization's quality management system, manufacturing process, and product should be reviewed to verify compliance with customer requirements and expectations or quality management system requirements, IATF16949 requirements and DILQ requirements.
- 3) The quality assurance team leader should discuss with auditors about previous non-conformance, as well as other recommendations of the exchange, and make clear that the audit of the previous non conformance to the verification requirements.
- 4) Support audit team in the following and verification of corrective action as answer for Non-conformance in audits



System Audit Standard

4. Auditee Department

- 1) Prepare for self-examination under the audit plan and respond to the audit requirements in good faith.
- 2) Corrective and preventive actions should be carried out on nonconformities as a result of the audit.
- 3) Report the results to the team leader in accordance with the nonconformity to confirm corrective actions and verification results.
- 4) Within the scope of the audit agreed with the audit team, the management shall be actively audited. System audits should include management reviews.

PROCESS

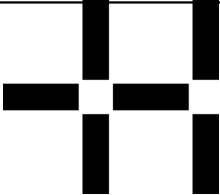
Article 5 Procedure

Article 5.1 Establishment of system audit plan (program) and audit notice

- A) The audit plan shall establish the quality management system, for audits of manufacturing process and products procedure, review procedures related.
- B) The detailed audit schedule includes the date, time, and judge assignment to identify the department, process, and product to be audited and examine each object. However, the judges (auditor) are not assigned to their departments or related process to their department . Planning is based in the risk identified in the process, result of previous audits and changes which affect the organization. Criteria for frequency of audit

Criteria	Result	Planning
Non conformities in previous audits	0-5	1 time
	5-10	2 times
	More than 10	3 times
Process risk analysis	Low	1 time
	Medium	2 times
	High	3 times

- C) The quality assurance manager may conduct **system** audits, even if they are not planned in the annual plan, with the approval of the president in the event of customer complaints, material changes, or audits of key customers.
- D) The **system** audit plan shall be notified to the relevant department manager before the audit.

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5.1.1. Audit program

A) Quality management system audit

Haengsung Electronics company shall audit their own audit program named with “System Quality Audit” to encourage and improve the quality level of subsidiaries. The HQ’s audit checklist is divided into monthly audit items and conduct an audit monthly, at least report the result. The team will split the HQ’s audit items into 4 parts, this audit take 4 months to complete one-time Q-Audit. (and conduct twice a year)

For a proper following in the status of planned audits, it is a code to update every month for the planned audit in that period: P= Planned; E=Executed; R=Rescheduled; X=Not performed

B) Manufacturing process audit

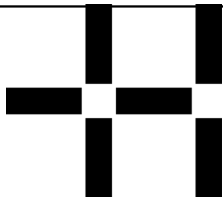
In order to determine the effectiveness of the process, each manufacturing process is planned and performed as a whole or as a sample. At the time of audit, the customer-specific management plan, drawings (specifications), inspection specifications, test specifications, and process specific guidelines are reviewed. Within each individual audit plan, each manufacturing process shall be audited on all shifts where it occurs, including the appropriate sampling of the shift handover. The manufacturing process audit shall include an audit of the effective implementation of the process risk analysis (such as PFMEA), control plan, and associated documents.

C) Product audit

Internal audits are planned and carried out by selecting the appropriate stages of production and delivery (delivery) to identify the specified requirements, such as product dimensions, functions, appearance, packaging, labeling, and to verify compliance. In addition to the product, drawing by product / part, customer claim data, inspection and test specifications are reviewed.

Article 5.2. Hold an auditor meetings and share audit related information

It conducts an audit pre-meeting under the supervision of the quality department and provides the internal auditor with the audit schedule, check list, and major audit points.



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1) The checklist shall be prepared by the internal auditor to be used for each audit so as to conform to the audit objective using the following data:

- IATF 16949 requirements
- Customer-specific requirements
- Quality management manuals and processes
- Procedures and standards
- Past customer complaints and claims reports
- Design change and process change
- Management plan
- Past review report & checklist
- Internal and external nonconforming product reports
- Organizational changes and new entrants
- New installation equipment and process
- Newly registered subcontractors

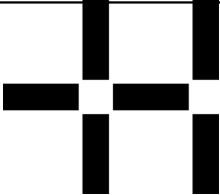
* Table 1. Audit program requirement from each customer, and internal regulation

:Must follow customer-defined audit program,

If a customer dose not define the program, follow the regulation defined VS company-internally

Division	HSE	GM	Customer X
System audit	Quality System Audit List	-	-
Process audit	VDA 6.3	LPA CQI	-
Product audit	VDA 6.5	N/A	-

If applicable,
(If not applicable, follow internal program)

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Article 5.3 Perform audit

- A) The auditor interviews the audit items, confirms the results of the work, confirms the documents, The examination shall be conducted on the basis of objective evidence. The audited data range is at least 6 recent months to evaluate objectively about the quality improvement tendency.
- B) The auditor may request the auditee department to improve the nonconformity when it finds any nonconformity.
- C) The auditor shall communicate the corrective action request to the representative of the audited department.
- D) If the auditor is unable to conduct the audit during the scheduled audit period, or re schedule the audit in order to complete it. Information shall be handed over and carried out under the supervision of the lead auditor or the QP/CS Part Leader.

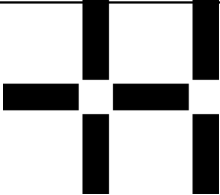
Article 5.4. Non-conformity report

5.4.1. Non-conformity report

- A) The auditor shall fill in the nonconformity report found at the time of examination and receive confirmation from the audited department.
- B) In the nonconformity report, evidence of nonconformity is attached as much as possible.
- C) Quality Planning Part Leader confirms the nonconformity report and notifies the audited department in writing.

5.4.2. Corrective and preventive action

- A) The owner of the process, where the Non-conformance was found, defines the cause using a methodology of analysis. Where the methodology is not defined previous to the analysis of cause, the 5 whys methodology would be used focused in the systemic cause, occurrence and detection can be omitted depending of nature of the case.
- B) The audited department shall prepare a corrective and preventive action plan for nonconformities in accordance with the corrective action request, and send it to the Quality Planning Part within the require date. The required lead time for improvement is within 14 days, except long term action plan.
- C) The audited department shall notify the Quality Planning Part of the results of the action according to the corrective and preventive action plan.

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Article 5.5. Report of audit result

Quality Planning Part Leader shall prepare a report on the result of the audit that includes the nonconformities of each department and report it to the top management, President and FSE in HSE.

In addition, the audit result report shall be reported at the quality meeting or management meeting for management review.

Confirm corrective action:

5.5.1) Quality Planning Part Leader makes a checklist of nonconformities in order to confirm the validity of the corrective action in the past internal audit.

5.5.2) These checklists are managed with nonconformities, including the minimum year.

Article 5.6. Verify corrective action

5.6.1) The quality department shall verify and record whether the corrective actions are being carried out effectively, and if the results of the measures are inadequate, the corrective action plan may be requested again. Time to review effectiveness, depending of the nature of countermeasure is 30, 60 and 90 days. Countermeasures related to deliver of product shall not wait this period time and shall be confirmed before the shipping date, others like following of status or revision in the process, can be monitored in this periods of time. In both cases the maintenance of corrective actions shall be verified in these 3 time intervals

5.6.2) The quality department may include previous corrective action result in the next audit program to check verification status.

Article 5.7. Maintain audit record

5.7.1) The quality assurance department is responsible for keeping all records related to the audit.

5.7.2) The retention period of the quality audit record shall be at least three years excluding the year concerned

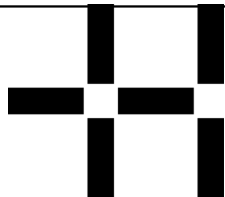
Article 5.8. Management of auditor qualification

Haengsung Electronics company shall maintain a list of qualified internal auditors, QA-FO-19-01 Lista de auditores internos

Quality management system auditors shall be able to demonstrate the following minimum competencies:

- A) understanding of the automotive process approach for auditing, including risk-based thinking;
- B) understanding of applicable customer-specific requirements;
- C) understanding of applicable ISO 9001 and IATF16949 requirements related to the scope of the audit;
- D) understanding of applicable core tool requirements related to the scope of the audit;
- E) understanding how to plan, conduct, report, and close out audit findings.

1) In case of QMS auditor, QA manager shall select qualifying auditors and initial evaluate them.



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2) Initial evaluation shall be done with the qualification Evaluation Report and members being evaluated shall have

minimum score of 70 in order to be qualified

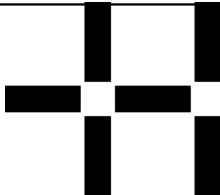
At a minimum, manufacturing process auditors shall demonstrate technical understanding of the relevant manufacturing process(es) to be audited, including process risk analysis (such as PFMEA) and control plan.

At a minimum, product auditors shall demonstrate competence in understanding product requirements and use of relevant measuring and test equipment to verify product conformity. (Manufacturing process & Product auditable organization: quality, production, production engineering, elementary technology, local development staff).



Qualification
matrix

Items	Need items		Auditor Requirements			
			QM System	MFG process	Product	2 nd party auditor
Training	Understanding of the automotive process approach for auditing, including risk-based thinking		O	O		O
	Technical understanding of the relevant manufacturing process(es) to be audited, including process risk analysis (such as PFMEA) and control plan		O	O		O
	Understanding product requirements and use of relevant measuring and test equipment to verify product conformity			O	O	
	Core Tool	APQP	O	O		O
		FMEA	O	O		O
		PPAP	O	O		O
		Control Plan	O	O		O
		MSA	O	O		O
		SPC	O	O		O
	ISO 9001 / IATF16949		O	O		O
	Audit techniques (Establishment of audit plan, execution, report writing and closing nonconformity)		O	O		O
	Customer Specific Requirement (refer to table 1/ page 10)		O	O	O	O
	VDA 6.3			O		
	VDA 6.5			O		
Education	Education		College or higher	College or higher	High school or higher	College or higher
Experience	More than 2 year of experience in applicable field (Quality, Production, Production Engineering, Elementary, Technology, Local Development,etc)		O	O	O	O
Communication skill	Who can communicate for the audit (Local language, English), Interpretation permitted		O	O	O	O

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Article 5.9 Internal auditor qualification maintenance			

In order to maintain the qualification, the auditor should maintain knowledge of relevant requirements based on internal changes (ex, process technology, product technology) and external changes (ex, ISO 9001, IATF 16949, core tools, and customer specific requirements - Education for more than 4 hours per year. The auditor should execute at least 1 audits per year.)

Article 6 Attachments



QA-FO-19-01
mat Internal audit

QA-FO-19-01 Format Internal auditors



System Audit
Template



System Audit
Check List

HSE System Audit Report



(Contermeasure
plate) Permanent (

(Countermeasure Template) Permanent Quality Audit



Microsoft
verPoint Presentat

(Report Template) OQA Core risk Q-Audit Report



(Report
te) Year 2025 Half

(Report Template) Year 2025 Half Year Q-Audit Report



(Report
e) Year 2025 Montl

(Report Template) Year 2025 Monthly Q-Audit Report

Article 7. Records retention policy

No.	Format No.	Format name	Champion	Time to keep	Way to keep
1	-	Format Audit Plan	QA/CS	5 years	Digital
2	-	Format Program	QA/CS	5 years	Digital
3	-	Format Audit Report	QA/CS	5 years	Digital
4	-	Format CA Request	QA/CS	5 years	Digital
5	-	Internal audit list	QA/CS	5 years	Digital
6	-	Self Audit tool Year	QA/CS	5 years	Digital
7	-	(Countermeasure Template) Permanent Quality Audit	QA/CS	5 years	Digital
8	-	(Report Template) OQA Core risk Q-Audit Report	QA/CS	5 years	Digital
9	-	(Report Template) Year 2025 Half Year Q-Audit Report	QA/CS	5 years	Digital
10	-	(Report Template) Year 2025 Monthly Q-Audit Report	QA/CS	5 years	Digital